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Provision of October 12, 2023
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No. 476 of October 12, 2023

THE GUARANTOR FOR THE PROTECTION OF PERSONAL DATA

IN THE meeting today, attended by
Prof. Pasquale Stanzione, President, Prof.
Ginevra Cerrina Feroni, Vice President, Dr.
Agostino Ghiglia, and Attorney Guido Scorza, members, and
Counsel Fabio Mattei, Secretary General;

HAVING REGARD to Regulation (EU) 2016/679 of the European Parliament
and of the Council, of April 27, 2016 (hereinafter "Regulation");

HAVING REGARD to Legislative Decree No. 196 of June 30, 2003 (Code regarding
the protection of personal data, hereinafter "Code") as amended by Legislative Decree No. 101 of
August 10,
2018, containing "Provisions for the adaptation
of national legislation to the provisions of
Regulation (EU) 2016/679";

HAVING REGARD to the complaint submitted to the Guarantor pursuant
to Article 77 of the Regulation, on November 11,
2021, by Ms. XX, who complained about
the activation without her knowledge, by Onda
Più S.r.l., of an unsolicited energy supply,
through the unlawful processing of personal data
related to her;

HAVING EXAMINED the documentation on file;

HAVING REGARD to the observations made by the Secretary
General pursuant to Article 15 of the Guarantor's Regulation No. 1/2000;

REPORTING Attorney Guido Scorza;

PREMISED

1. The complaint and the investigative activity.
On November 11, 2021, a complaint was received by this
Authority regarding the activation,
by Onda Più S.r.l., of an unsolicited contract in the context of the energy supply,
through the processing of inaccurate and
outdated personal data.

The complainant, in particular, reported that she
learned she had switched to a new supplier
only after the disconnection of the
energy supply registered in her name, due to
alleged non-payments requested by Onda Più
S.r.l.

In this regard, an investigation was initiated
inviting, pursuant to Article 157 of Legislative Decree No. 196
of June 30, 2003 (hereinafter "Code"), the data controller
to provide information regarding the methods of
processing personal data of customers for the
purposes of their contracting as well as

the additional measures taken to demonstrate compliance with the Regulation, including those implemented in this specific case (see request of December 1, 2021). Considering that the response provided by Onda Più S.r.l. in a note dated December 3, 2021, did not adequately address the requests made by the Authority, on July 18, 2022, an additional communication was sent pursuant to Article 157 of the Code.

Having established that the aforementioned request, although duly notified to the data controller, remained unanswered, the Authority, pursuant to Article 166, paragraph 5 of the Code, notified, through the Special Privacy and Technological Fraud Protection Unit of the Guardia di Finanza (hereinafter "Unit"), the violation of Article 157 of the Code (Article 166, paragraph 2 of the Code), simultaneously requesting the aforementioned Unit to acquire, from the Company, the information requested in the Guarantor's note of July 18, 2022. Further information was also received in response dated April 6, 2023, following a specific request from the Guarantor sent, pursuant to Article 157 of the Code, on March 9, 2023.

2. The elements acquired during the investigation.

In the context of the responses mentioned above and during the inspection activities carried out by the Unit (see minutes of October 19 and 20, 2022), the data controller has

declared the following.

Onda Più S.r.l. – "a company engaged in the sale of electricity and gas and energy efficiency products, with operational headquarters in Syracuse, belonging to the ENERON S.p.A. group" – "has a customer base of approximately

12,000, predominantly located in Sicily. The main acquisition channels [for them] are represented by Onda Stores, located in Sicily and specifically in the southeastern area, by door-to-door agents, and the remaining part through teleselling."

In order to "expand the methods of customer acquisition, in 2020, Onda [Più S.r.l.] also introduced a new method of contracting customers through the OTP digital signature system" which "allows the digital signing of the contract" through prior authentication via a password sent to the phone number or email address provided by the customer (see minutes of October 19, 2022, pp. 2-3; minutes of October 20, 2022, p. 3).

The personal data of customers "are contained in a database hosted by the company Mobile Solution S.r.l. of Varese," appointed as data processor by the designation act of May 22, 2022 (see minutes of October 19, 2022, p. 3 and attachment 7).

The contracting process carried out by door-to-door agencies is initiated through "the entry of prospect customer data

into the company ERP application, by the commercial sales operators/agents, using personal credentials (...). At this stage, scanned paper contracts are entered, (...) and the contract, in PDF format, signed with OTP signature.”

At the end of this entry, the agent, having verified the completeness of the documentation present, uploads the contract into the aforementioned management system with the status ‘signed for commercial verification.’

The aforementioned documentation is then submitted, by employees of the sales area of the Company, to a so-called back-office verification which consists of conducting the so-called pre-check on the Integrated Information System (control regarding the correct association/congruity between the tax code and the Withdrawal Point – “PDP”), at the outcome of which, if positive, “prospective customers (...) receive an SMS and/or an email, to the references indicated at the time of signing the contract, containing the agreed technical and economic conditions. However, this system does not allow for the accuracy of the references and data of the actual user of the service” (see minutes of October 19, 2022, p. 3).

Following this phase, the contracts “are extracted to carry out [a] check call [verification call]; (...) even in this last check, while requiring to speak necessarily with the actual account holder and requesting additional personal and technical information, in case of fraudulent intent, it is not [possible] to have certainty that the customer is the actual user of the service.”

If the first verification call yields a negative result, a second call is made, and if that fails, “the contract can no longer be recovered.” In the case of a positive result from the verification call, however, the contract is subjected by the Sales Support function to a ‘regularity’ check such as the existence of “non-expired technical and economic conditions, valid Tax Code, active VAT number, possible presence of identity documents, etc.”

Once the aforementioned check is passed positively, the contracts “are from this moment analyzed by the back office operation (...) and sent again for pre-check on the I.S.S., to ensure that in the meantime nothing has changed. If the outcome of the pre-check is (...) OK (..) the customers (...) receive the ‘pre-activation call’ from the customer area which, only upon a positive outcome, brings the status [of the contracts] to ‘ready for switching’, otherwise the contracts die definitively in the state of ‘ko due to reconsideration’. The contracts in the ‘ready for switching’ state are (...) uploaded to the I.S.S. portal for activation. Within a few days at most, the I.S.S. provides the activation results” which, if positive, leads to the commencement of supply to the customer. Finally, “post-activation, a welcome call is made to the customer” and a “welcome letter” is sent “via email” containing information related to the activated supply (see minutes of October 19, 2022, pp. 4-5).

In addition to the methods described above, starting from April 2021, specific internal control processes have been implemented for contracts signed via OTP. This initiative was launched following some critical issues that emerged regarding contracts procured by a partner agency, Castiello Coop A.r.l., tasked with acquiring potential customers. In this regard, in fact, Onda Più S.r.l., at the time of the welcome call, found that “most of the potential customers, belonging to the same commercial structure, had their phone number turned off or unreachable.”

Therefore, an activity of “verification of the IP addresses of those who had signed the contract with this company was carried out and they all came from similar IPs; (...) geo-locating the IP addresses [the Company highlighted] that the location of subscription was different from that of residence/supply of the potential customer. Finally, [the emails of the prospects entered by the agency for the contract signing were examined and most belonged to temporary email providers” (see minutes of October 20, 2022, p. 2).

The Company therefore proceeded, first of all, to block the validation of “7 suspicious contracts, and of

the other 8, among which that of the appellant, 7 [were] resolved amicably and 1 became (...) a customer.” Subsequently, additional controls were implemented as an integral part of the contracting process via OTP by door-to-door agencies, aimed at preventing the recurrence of similar events (see minutes of October 19, 2022, p. 5 and minutes of October 20, 2022, p. 1).

Specifically:

- verification regarding the number of times the IP address was used at the time of signing the contracts: the fact that the IP is used multiple times to sign contracts in the names of different people generates an alert on the reference agent;
- geolocation of the device used for the OTP in order to compare this information with the supply/residence data indicated in the contract;
- control regarding redundant phone numbers/email addresses used for signing the contract: “if the same number/email address corresponds to multiple personal records,” an alert is generated aimed at carrying out further checks;
- analysis of the domains of email addresses, in order to identify temporary ones; “in such cases [the contracts are blocked and the case is reported to the interested business partner requesting clarifications];
- the “aforementioned checks (...) are also cross-referenced with the data entered by business partners to highlight common elements that provide a clear picture of the engagement and acquisition methods of these latter’s customers;
- finally, a verification is carried out “on the frequency with which customers respond to the check call paying attention to the attempts made. If potential customers respond on the first attempt, and to a considerable extent,” an alert is generated (see minutes of October 19, 2022, Annex 2).

Regarding the verification activities of the processing operations carried out by the data processors, the Company stated that, having appointed a new data protection officer in February 2022, “all contractual documentation, as well as all other activities related to Privacy regulations, is currently being updated and implemented. In light of this, the methods of verifying the processing activities carried out by the processors pursuant to Article 28 of the GDPR and any applicable sanctions are currently under review.”

It also added that it was “unable to document the training provided or the audits conducted [in the past],” reiterating, however, that the contract with the agency Castiello Coop A.r.l. was in effect for only two months and was promptly terminated as soon as it became aware of the highlighted critical issues (see minutes of October 20, 2022, p. 2).

With specific reference to the matter concerning the complainant, “on April 20, 2021, the contract in question was concluded remotely using an OTP signature system and acceptance of the contract proposal, subsequently confirmed on April 22, 2021, with a check call to the telephone number provided in the contract (...). On May 6, 2021, a pre-activation call was made to the telephone number provided in the contract, following which the customer expressed the decision to activate the services, and a request for activation of the supply was subsequently made with a successful switching outcome. On May 24, 2021, a welcome letter was sent (to the email address provided in the contract), indicating the offer and the technical data of the supply.”

Following the activation of the service, on June 1, 2021, a welcome call was made, and the Company found that “most potential customers, belonging to the same commercial structure [including the complainant], had their phone numbers turned off or unreachable. (...) Following the entry into service of the PDP (point of withdrawal), despite the sending of issued invoices and given the continued non-payments, attempts were made to contact the customer at the telephone number provided in the contract on August 25, September 22, and October 18 (...). All calls made were always unsuccessful due to the customer’s lack of response. On November 11, 2021, the customer contacted the (...) toll-free number [of Onda Più S.r.l.] identifying herself and requesting the sending via a new email (...) of the invoices issued up to that date. On November 12, 2021, [the] complaint [of Ms. XX] for denial of the contract was received, following which [the] issued invoices were canceled and the procedure for restoration for unsolicited contracts was recognized” (see minutes of October 20, 2022, pp. 2-3).

Regarding the control actions undertaken following the submission of the complainant's dispute against the agent responsible for concluding the aforementioned contract, the Company "blocked the contracts proposed by the Castiello Agency deemed suspicious and amicably resolved, as with the complainant, those that had already been finalized. No legal actions have been taken against the Castiello Agency, other than the termination of the collaboration with it approximately two months after the signing of the contract" (see minutes of October 20, 2022, p. 3). "For the activity carried out, which was immediately found to be non-compliant with what was contractually agreed, the Company (...) as mere compensation for the damages caused did not recognize any commission to the Agency" (see note of April 6, 2023, p. 1).

In the "months of April-May 2021, Castiello provided Onda Più with 231 contractual proposals, including the sale of electricity and gas services, of which 177 were canceled and not activated"; "only 54 entered into service with Onda Più."

Among the customers involved, "19 filed complaints, and suitable settlement solutions were agreed upon with them in light of the correct provision of the supply service at their premises. (...) Overall, in the two months during which Castiello was operational (April-May 2021), Onda's sales network, through the door-to-door channel, excluding the actions of Castiello, generated 648 contractual proposals of which 535 actually entered into service" (see note of April 6, 2023, pp. 1-2).

3. Notification of violations and defensive memoranda.

With communication dated April 17, 2023, the Office, based on the documentation on file and the elements acquired during the investigation, proceeded to notify Onda Più S.r.l. of the initiation of proceedings for the adoption of measures pursuant to Articles 58, paragraph 2, and 83 of the Regulation in relation to the violation of Article 5, paragraph 1, letters a) and d) and paragraph 2 and Article 24 of the Regulation; this in accordance with the provisions of Article 166, paragraph 5, of the Code.

In this regard, the Company, with a note dated May 16, 2023, submitted its defensive writings, in which it specifically clarified that the number of 177 canceled contractual proposals not activated, as stated in its note of April 6, 2023 (see notification of violation of April 17, 2023, p. 4), may also include "cases of cancellation, (...) of reconsideration pursuant to Article 52 of the Consumer Code, [of] negative credit checks and in general."

all KO for other reasons of technical-fiscal inconsistency."

The Company, in fact, considering the improper behavior of the Agency Castiello Coop A.r.l., has, as a precautionary measure, "preemptively annulled all contractual proposals obtained from the latter indiscriminately (...) precisely to avoid any negative consequences for the interested parties, even in the absence of evidence of disavowal by the interested party" (see note of May 16, 2023, p. 2).

Due to this customer management policy, the number of contracts subject to unsolicited activation may be lower than that reported above (see note of May 16, 2023, pp. 1-2).

In the context of the aforementioned defensive memoranda, the Company also indicated, among the elements in its favor for the potential determination of the administrative sanction, the circumstance of having promptly and voluntarily activated, following the experience with the agency Castiello Coop A.r.l., to introduce "additional controls carried out by internal company personnel, sales support department, aimed at discovering in advance any anomalous behaviors of commercial partners," as well as to improve the customer contracting process carried out by the agencies (see note of May 16, 2023, p. 3).

More specifically, in addition to the measures already indicated in paragraph 2 of this provision, the Company has proceeded to:

- update the documentation related to the mandate contract and the designation "of the data processing managers pursuant to Article 28 of the GDPR, attached to the [aforementioned contract] (...) in order to monitor [more effectively] the correct adoption of the technical and organizational measures of the processing carried out, oversee the application of security measures, and ensure that the processing is carried out correctly by company personnel and the Company's suppliers" (cf. note of May 16, 2023, p. 4);
- introduce, at the expense of the agencies, "penalties greater than the commission, which in this case

is also deducted, for treatments not compliant with the provisions issued through the technical regulations, up to the contractual termination with the possibility of further claims for damages” (see note of May 16, 2023, p. 4);

- provide, starting from April 2023, “an additional call (Welcome call) that is made close to the activation of the supply. All Customers in activation or active who have not yet received the first invoice are contacted with the aim of creating contact with the customer in the phase following the signing of the contract, rechecking the personal and technical data and the validity of the contract”; this in order to “further intercept any cases of acquisitions not perfectly transparent to the Customer until the application of the restorative procedure for unsolicited supplies” (see note of May 16, 2023, p. 5);
- conduct a monthly analysis of the outcomes of contacts with the Customer in order to verify “the percentages of Customer satisfaction and those of dissatisfaction, intervening promptly with the Agents to verify any non-compliance and provide for the correction of critical issues” (see note of May 16, 2023, p. 5);
- plan, starting from the end of May 2023, a series of “training meetings on privacy for the Eneron Group Companies” as well as intensifying the “frequency of periodic meetings between the sales, customer care, and operations functions, in order to analyze the acquisition quality of the agents, through periodic audits, and identify further control and corrective actions, where necessary” (see note of May 16, 2023, p. 5).

4. The outcome of the investigation: the violation of the principles of correctness, accuracy, and accountability.

First of all, it is stated that, unless the act constitutes a more serious crime, anyone who, in a proceeding before the Guarantor, falsely declares or certifies news or circumstances or produces false acts or documents is liable under Article 168 of the Code “Falsehood in declarations to the Guarantor and interruption of the execution of the tasks or the exercise of the powers of the Guarantor.”

Having duly stated this, at the conclusion of the examination of the elements acquired during the aforementioned checks, as well as the subsequent evaluations carried out by the Authority, it has been ascertained that the processing of personal data referred to in this decision was carried out by Onda Più S.r.l., as the data controller, through an agency, designated as responsible for the same processing operations, during the period (from April 7, 2021, to May 31, 2021) in which it acted to procure potential customers on behalf of the principal (see minutes of October 19, 2022, Annex 4; see response of April 6, 2023, p. 1).

Such conduct, due to the organizational and managerial methods in place within the customer acquisition system implemented by Onda Più S.r.l. – as more detailed below – has resulted in the processing of personal data of the complainant and other potential customers that is not compliant with the Regulation as it is contrary to the principles of correctness and accuracy of data (Article 5, paragraph 1, letters a) and d) of the Regulation); this with particular reference to the specific methods employed by some agents and sellers at the time of acquiring contractual proposals through the processing of inaccurate and outdated data related to the clientele.

The investigative activity has also highlighted that, although the treatments subject to complaint were carried out by data controllers (agents and sellers of Castiello Coop A.r.l. – a company in liquidation since July 19, 2021) who operated in violation of the instructions given by the data owner (see minutes of October 20, 2022, Annex 4), it has also emerged that the technical and organizational measures adopted by Onda Più S.r.l., within the processes of customer acquisition through the door-to-door Agency channel, were not adequate to the nature, context, purposes, and risks of the aforementioned treatment, constituting a violation of the principle of “accountability” (art. 5, par. 2 and art. 24 of the Regulation).

In this regard, it is indeed appropriate to note that, pursuant to the aforementioned principle, the data owner is the entity assigned the “overall responsibility” for the treatment they have carried out directly or that others have performed on their behalf, thus bearing the burden of implementing an organizational and management system characterized by real and effective data protection measures that are also verifiable (see c. 74 and arts. 5, par. 2 and 24 of the Regulation); this not only through the correct and timely preparation of the obligations imposed by data protection legislation (information,

record of processing activities, appointment of the data protection officer where mandatory, impact assessment where necessary, etc.), but especially through the implementation of procedures and organizational practices aimed at ensuring that the relevant treatments comply with the same Regulation (e.g., processes for mapping treatments; rules for assigning responsibilities; staff training programs; procedures for verifying the actions of designated controllers pursuant to art. 28; provision for internal and external audits at regular intervals, etc.; see Article 29 Working Party, WP 173 of July 13, 2010 - Opinion 3/2010 on the principle of accountability, pp. 11-12).

In the specific sector of energy and gas, moreover, the Authority has already expressed itself, since December 2019, regarding the organizational and managerial methods that a data controller, operating in the sale of energy in the free market, is required to adopt at the time of acquiring new customers, to ensure and be able to demonstrate that the treatment is carried out in accordance with the Regulation (arts. 5, par. 2 and 24 of the Regulation; see decision of December 11, 2019 – web document no. 9244358).

This decision, although directed at a specific supplier, contains useful indications of general relevance regarding the technical-organizational measures that an energy operator must adopt in order to verify compliance with the instructions given to controllers as well as the accuracy of the personal data processed by them during the contracting operations of their customers.

From the checks carried out during inspections, as well as from the examination of the documentation on file, various shortcomings have emerged in the privacy policies implemented by Onda Più S.r.l. in the sector under scrutiny, policies that appeared to be lacking and ineffective, especially in terms of guaranteeing the accuracy of the data processed, the security of the treatment, and the control of the actions of the persons authorized to process them.

The inadequacy and gaps in such procedural methods have allowed certain individuals (specifically agents and sellers) to operate in violation of the instructions given by the data owner, with repercussions on the legitimacy of the related treatments, particularly in terms of their correctness and the quality of the data processed. This is clearly evidenced by certain implementation methods, by Onda Più S.r.l., of the verification procedures of the Agency involved in the specific case, as detailed in the following terms.

5. The inadequacy of the technical and organizational measures adopted by the Company in the context of customer contracting activities.

It has emerged that the customer contracting process, as entrusted by Onda Più S.r.l. to the door-to-door agencies (and followed in the specific case), involves a dual phase of "verification" of the contractual intent (and consequently of the quality of the data processed and entered by the agents in the ERP application) based, primarily, on the sending of an SMS and/or an email, and secondarily through a check call, both activities carried out to the contacts provided by the customer at the time of signing the contract.

The system as conceived suffers from the significant limitation of being based solely on contact details provided by the selling agent and does not provide sufficient certainty of the correspondence of these with the actual user of the service, posing a risk for Onda Più S.r.l. – which occurred in the case at hand – of acquiring unsolicited contracts containing inaccurate and outdated personal data (see minutes of October 19, 2022, p. 4).

In this regard, it is also noted that the transmission of contractual documentation via email or SMS is not carried out through methods that allow the data owner to have proof of the actual receipt of such documentation by the customer (such as the use of confirmation messages of transmission and reading of the content of the message), with the possibility that it, being sent to a phone number or email address not belonging to the potential customer, may never be viewed by them – a circumstance found in the specific case.

In light of the above, therefore, in

****Consideration of the Risks Associated with the Processing****

Given the risks associated with the processing carried out as well as the nature and context of the same, the aforementioned measures appear inadequate to conform to the provisions of the Regulation; this is particularly true considering that the phenomenon of unsolicited activations, especially through the methods concretely used in the case at hand, has been fully known for years in the relevant sector, as evidenced not only by the decision of the Authority dated February 11, 2019, mentioned above, but also by the various and numerous decisions adopted by other Authorities within their respective areas of competence regarding unlawful conduct aimed at concluding contracts without the knowledge of potential customers (see, among many, AGCM, decisions of December 21, 2016, refs. PS6259, PS10114, and PS10338; AGCM, decision of December 13, 2022, no. 30422).

The same observations must be made with reference to the different measure consisting of making a welcome call following the activation of the supply, accompanied by the sending, via email, of a welcome letter: even in this case, it is possible to recall what has already been noted above regarding the uncertainty inherent in the reliability of the contact details acquired by the agent at the time of signing the proposal, as well as the absence of systems capable of proving the actual receipt of the aforementioned email by the customer.

In this regard, it is also noted that the provision of a different communication system with the interested party (such as, for example, the transmission of the contractual proposal, in addition to the digital address present in the contract, also by post to the address corresponding to the POD/PDR associated with the supply through a tracking service for the delivery of the same) would have allowed for the early interception of the anomaly found against the agency involved in this case.

It has also emerged that the procedures for verifying the personal data contained in the contracts procured by the agencies did not provide, at the time of the conclusion of the energy supply agreements referred to in this complaint, for the implementation of alert systems sensitive to various procedural anomalies such as: the entry into the CRM of recurring numbers and email addresses; the inaccuracy or incompleteness of the acquired contractual data; the number of contracts signed by each agent/seller; the verification of the IP addresses used at the time of signing the contract; etc.

The implementation of such systems, especially regarding the contractual proposals signed using OTP methods, could have limited the contested conduct, allowing Onda Più S.r.l. to intervene promptly in the processing operations of customer data contained in the contractual proposals and to be aware of the violations committed even at a stage prior to the activation of the supply.

The absence of such a measure, among other things, does not appear justified by the exceptional nature of the conduct carried out by the agents, considering the high prevalence of the aforementioned irregular phenomena in the relevant sector and the degree of awareness required of the aforementioned data controller, due to the specific role played by them in the context of the sale and supply of energy in the free market; this is particularly true in light of the indications already provided by the Authority for some time in similar cases to those at hand, in the above-mentioned decision of December 11, 2019.

Finally, it is noted against the Company that no documentation has been provided to attest to the conduct of audits regarding the actions of the data processors designated pursuant to Article 28 of the Regulation, nor of training activities for the same in the field of personal data protection; nor has evidence been provided regarding the existence of internal policies aimed at applying specific sanctions to the processors under Article 28 for cases of non-compliance with the instructions provided by the controller regarding the processing of personal data (see minutes of October 20, 2022, p. 2).

In more general terms, it can be stated that the failure to adopt the set of measures indicated above has resulted, as declared by the Company itself (see note of April 6, 2023, pp. 1-2), in the loading into the systems of Onda Più S.r.l. of approximately 196 unsolicited contractual proposals, corresponding - for the reference period (April-May 2021) - to 22% of the total contractual proposals overall acquired by the Company through the door-to-door sales network (see note of April 6, 2023, p. 2).

On this point, regarding the specific objections raised by the Company in order to reduce the

aforementioned number of contractual proposals procured by the aforementioned Castiello Coop A.r.l. (see above, par. 3 of this decision), it is represented that the assertion made by the aforementioned controller regarding the possible presence, among the aforementioned proposals, of contracts that can be annulled for reasons other than unsolicited activation (e.g., exercise of the right of withdrawal, unreliability of the customer, etc.) does not appear to be shareable.

This observation, in fact, - which contradicts what has been otherwise stated by Onda Più S.r.l. in the note of April 6, 2023 (see pp. 1 and 2) - has not been supported by any documentary evidence aimed at proving a different quantification of the contractual proposals subject to contestation.

Finally, with particular reference to the complaint presented in this case, it is noted that the Company, although it had already ascertained the presence of anomalies in the management of the

****Client Contracting Operations****

carried out by Castiello Coop A.r.l., did not assume proactive behaviors aimed at contacting Ms. XX in order to ensure the quality of the data related to her present in its database (for example, by sending a communication via mail to the address resulting from the POD on which the supply was activated with a system that provided confirmation of the actual receipt of the aforementioned communication) but limited itself, exclusively from August 25, 2021, to making a single call per month, to the number present in the contractual documentation (which was, moreover, untraceable), until the submission, in November 2021, of a specific complaint spontaneously submitted by the aforementioned customer (see minutes of October 20, 2022, p. 3).

****6. Conclusions: Declaration of Illegality of the Processing. Corrective Measures pursuant to Art. 58, par. 2, Regulation.****

In light of the overall findings, the Authority believes that the statements, documentation, and reconstructions provided by the data controller during the investigation do not allow for overcoming the observations notified by the Office with the act of initiation of the procedure and are therefore inadequate to order the archiving of the present procedure, as none of the cases provided for in Art. 11 of the Garante Regulation No. 1/2019 apply. The processing of personal data carried out by the Company is indeed illegal, in the terms outlined above, with reference to the violation of the principles of fairness and accuracy of data, as well as accountability (Art. 5, par. 1, letters a) and d) and par. 2, and Art. 24 of the Regulation). The violation of the aforementioned provisions entails the application of the administrative sanction provided for by Art. 83, par. 5, letter a) of the Regulation.

Finally, regarding the exercise of the corrective powers referred to in Art. 58, par. 2, of the Regulation, it is noted that Onda Più S.r.l.,

during the procedure, has taken some initial measures aimed at aligning, in accordance with the regulatory framework described above, the processing of customer data with the Regulation as detailed in this decision (see above, par. 2 and par. 3 of this decision).

Taking into account the above and without prejudice to the aforementioned actions already initiated by the Company, it is deemed necessary, in light of the further criticalities identified against the data controller, to order the same, pursuant to Art. 58, par. 2, letter d), of the Regulation, the following corrective measures:

a) Definition of alert mechanisms suitable for detecting various procedural anomalies such as the entry into the CRM of recurring phone numbers and email addresses (for example, exceeding 5); the discrepancy between the supply address and the customer's contact address; the inaccuracy or incompleteness of the contractual data acquired; the loading into the system of multiple contract proposals (for example, exceeding 4) in the name of the same subject; the excessive and unusual number of contracts signed by each agent/seller; etc., as well as any further indicators of anomalies that the Company, based on acquired experience, deems equally impactful on the correct acquisition of personal data of potential customers. Regarding this measure, it does not appear necessary for it to generate by default a blocking anomaly with respect to the activation of the related supply, as it is sufficient that such events lead, regardless of the actual continuation of the activation of the supply, to a report (alert) indicating to the controller a possible irregularity to be examined through specific and detailed verification actions; this in order to have a preventive control system aimed at promptly intercepting any incorrect and/or fraudulent behaviors of its agents and sellers, even before the customer submits a complaint;

b) Within the framework of the controls already adopted in response to the fraudulent behaviors carried out by the agency Castiello Coop A.r.l., by verifying the domains of the emails acquired from agents in order to highlight temporary, repeated, or similar email addresses coming from the same provider, as well as repeated mobile numbers or those coming from the same operator (see above, par. 2 of this decision), the implementation, also for the future, of similar controls on a weekly basis and a summary at the end of each month. It also seems appropriate to

prescribe the conduct of checks regarding the signing times of the contractual proposals (with daily checks);

c) Introduction of mechanisms to ascertain the actual receipt of communications sent to the customer during the contracting phase (e.g., confirmation messages of receipt and reading of emails sent to the customer). In this context, it is specifically requested that the welcome letter be sent also to the physical supply address of the user, along with the use of a system to verify the actual receipt of the same. In this regard, it is noted more generally that, with reference to these prescriptions, it does not appear essential that the possible lack of confirmation of delivery of the aforementioned communications has a "blocking" effect on the continuation of the contracting procedure. However, it is necessary, as already highlighted above (point a) of this paragraph), that it generates an alert followed by specific and greater controls, by the

Onda Più S.r.l., regarding the methods of acquisition and processing of data of potential interested customers;

d) provision for periodic audits to evaluate the actions of the agencies appointed, pursuant to Article 28 of the Regulation, to process customer data for contractual purposes;

e) with reference to the processing of customer data for which, following the preventive checks described above and those already voluntarily adopted by the Company (see above, paragraphs 2 and 3 of this decision), it appears appropriate as a precautionary measure to suspend the contractualization procedure, implementation of a system that provides for the timely limitation, pending the outcome of subsequent checks, of any further processing activities of the same data; this by adopting appropriate measures to ensure the segregation of the aforementioned data from that processed in the context of ordinary customer management activities. The same activity must be carried out concerning personal data related to contracts/contractual proposals for which a complaint has been submitted for unsolicited activation. This measure requires a structural intervention within the Company's systems, such as, for example, the adoption of a data masking mechanism and logical and physical segregation of the same (the data, that is, are marked and temporarily transferred to another system and, during the limitation period, are kept in a state of inaccessibility). Lastly, with reference to the personal data of customers subject to the 196 unsolicited contractual proposals procured by the agency Castiello Coop A.r.l. (as identified in paragraph 5 of this decision), it is ordered pursuant to Article 58, paragraph 2, letter f) of the Regulation, the definitive limitation of any further processing activities of the same other than that related to the aforementioned segregation of said information.

7. Adoption of the injunction order for the application of the administrative pecuniary sanction and accessory sanctions (Articles 58, paragraph 2, letter i), and 83 of the Regulation; Article 166, paragraph 7, of the Code).

The Guarantor, pursuant to Article 58, paragraph 2, letter i) of the Regulation and Article 166 of the Code, has the power to impose an administrative pecuniary sanction provided for by Article 83 of the Regulation, by adopting an injunction order (Article 18, Law of November 24, 1981, No. 689), in relation to the processing of personal data carried out by Onda Più S.r.l., which has been found to be unlawful, as stated above.

It is deemed necessary to apply paragraph 3 of Article 83 of the Regulation where it provides that "if, in relation to the same processing or related treatments, a data controller [...] violates, with intent or negligence, various provisions of this regulation, the total amount of the administrative pecuniary

sanction does not exceed the amount specified for the most serious violation,” the total amount of the sanction is calculated so as not to exceed the maximum penalty provided for by the same Article 83, paragraph 5.

With reference to the elements listed in Article 83, paragraph 2 of the Regulation for the application of the administrative pecuniary sanction and its quantification, considering that the sanction must be “effective, proportionate, and dissuasive in each individual case” (Article 83, paragraph 1 of the Regulation), it is represented that, in the case at hand, the following circumstances have been taken into account:

the significant severity of the violations (Article 83, paragraph 2, letter a) of the Regulation), in relation to the nature – concerning the non-compliance with the principles of lawfulness of processing – and the methods of the same – the number of unlawful conducts carried out in only two months of activity; this considering specifically that the unsolicited contractual proposals, loaded by Castiello Coop. Arl. on behalf of Onda Più S.r.l. between May and April 2021, correspond, for the same reference period, to 22% of the total contractual proposals acquired by the Company through its door-to-door sales network. It has also been taken into account the following circumstances: the contested operations were carried out for the purpose of concluding energy supply contracts in the free market, an economic activity that falls within the core business of the controller; the issues identified in the area of data protection refer to the processes and policies implemented by the controller for carrying out customer contractualization operations through the agency channel, highlighting systemic deficiencies and inadequacies of the aforementioned processes and therefore cannot be attributed to sporadic episodes of misalignment; the established violations have resulted in harm to the complainant and other potential customers involved, in addition to direct prejudices related to identity theft suffered by them, also the conclusion, unbeknownst to them, of contracts and unsolicited activations in the free energy market, with consequent necessity for them to bear the related administrative burdens connected to the initiation of actions (judicial and/or administrative) provided in such cases for consumer protection; on this point, with particular reference to the case subject to specific complaint, it is also added that the complainant has suffered, due to the aforementioned violations, the interruption of the energy supply;

the significant degree of responsibility of the controller regarding the technical and organizational measures implemented by the latter (Article 83, paragraph 2, letters b) and d) of the Regulation); this with specific

reference to the inadequacy of the personal data protection policies implemented by Onda Più S.r.l. in the sector under scrutiny, as detailed in paragraphs 3.1 and 3.2 of this decision, as well as in light of the indications previously provided by the Authority regarding the organizational and managerial methods that a data controller, operating as an energy supplier in the free market, must implement when acquiring new customers, to comply with the Regulation (see decision of December 11, 2019, cited); the adoption by the controller of measures aimed at mitigating or eliminating the consequences of the violation (art. 83, par. 2, lett. c) of the Regulation). In this regard, it is positively noted that Onda Più S.r.l. promptly adopted, once aware of the violation, some initial measures to mitigate the effects of the unlawful processing, measures that, although only partially sufficient to eliminate the risks, can be considered reasonable; it is also taken into account for this purpose that the Company, already at an earlier stage before the complaint was filed with the Authority, had autonomously intercepted the improper behaviors of its agents by virtue of carrying out some preliminary monitoring actions of the operational methods of the agencies appointed as responsible pursuant to art. 28 of the Regulation (see above, par. 1.2 of this decision); the fact that the Company actively cooperated with the Authority during the proceedings (art. 83, par. 2, lett. f) of the Regulation); the fact that there are no previous violations committed by the data controller or previous measures pursuant to art. 58 of the Regulation (art. 83, par. 2, lett. e) of the Regulation); other mitigating factors (art. 83, par. 2, lett. k) of the Regulation): the costs incurred by the Company for the application of art. 66-quinquies of the Consumer Code, in favor of customers who filed complaints for unsolicited activation with consequent reversal of amounts already billed (see above, par. 2 of this decision); the limited extent of the energy sales activity of the controller, an activity confined to the southeastern area of the Sicily region (see regarding this, minutes of October 19, 2022, p. 3).

It is also considered that the economic conditions of the offender, determined based on the turnover of the Company in the energy sales sector, as per the financial statements for the year 2022 (latest available), are relevant in this case, due to the aforementioned principles of effectiveness, proportionality, and deterrence to which the Authority must adhere in determining the amount of the sanction (art. 83, par. 1, of the Regulation). Finally, account is taken of the costs that the Company is required to incur to comply with the prescriptions set out in point 4 of the aforementioned decision.

In light of the above elements and the evaluations made, it is deemed appropriate, in this case, to impose on Onda Più S.r.l. an administrative sanction of payment of an amount equal to €200,000.00 (two hundred thousand/00). In this context, it is also considered that pursuant to art. 166, paragraph 7, of the Code and art. 16, paragraph 1, of the Authority's Regulation no. 1/2019, the publication of this decision on the Authority's website should proceed. This is in consideration of the type of violations established that have affected the general principles of processing, particularly the principles of fairness, accuracy, and accountability.

It is also taken into account for this purpose the significant harm suffered by the complainant and other affected customers following the conclusion of unsolicited contracts in the free energy market, with the consequent necessity for them to bear all administrative burdens related to initiating the judicial and/or administrative actions provided for in such cases for their protection, including the reactivation of energy supply where interrupted.

Finally, it is deemed that the conditions of art. 17 of the Authority's Regulation no. 1/2019 are met.

ALL OF THE ABOVE CONSIDERED, THE AUTHORITY

- a) pursuant to arts. 57, par. 1, lett. f) and 83, of the Regulation, finds the unlawfulness of the processing carried out by Onda Più S.r.l., based in Rome, VAT no. 01787510898, in the terms stated in the reasoning, for the violation of art. 5, par. 1, letters a) and d) and par. 2 and art. 24 of the Regulation;
 - b) pursuant to art. 58, par. 2, lett. d) of the Regulation, orders the aforementioned Company to comply, within nine months from the date of notification of this decision, with the prescriptions formulated in par. 6 of this decision, simultaneously requesting it to communicate what initiatives it intends to undertake in order to implement the provisions and to provide, within the aforementioned term, adequately documented feedback pursuant to art. 157 of the Code; any failure to respond may result in the application of the administrative monetary sanction provided for by art. 83, par. 5, lett. e) of the Regulation;
 - c) pursuant to art. 58, par. 2, lett. f) of the Regulation, orders, against Onda Più S.r.l., the definitive limitation of any further processing activity of the personal data of the customers subject to the 196 unsolicited contractual proposals procured by the agency Castiello Coop A.r.l. (see par. 6 of this decision);
 - d) believes that the conditions of art. 17 of Regulation no. 1/2019 concerning internal procedures with external relevance are met.
- finalized for the performance of duties and the exercise of powers assigned to the Guarantor.

ORDERS

- e) pursuant to Article 58, paragraph 2, letter i) of the Regulation, to the same Onda Più S.r.l., to pay the sum of €200,000.00 (two hundred thousand/00) as an administrative pecuniary sanction for the violations indicated in this provision.

ORDERS

- f) therefore Onda Più S.r.l. to pay the aforementioned sum of €200,000.00 (two hundred thousand/00), according to the methods indicated in the attachment, within thirty days from the notification of this provision, under penalty of the adoption of the consequent executive acts pursuant to Article 27 of Law No. 689/1981. It is noted that pursuant to Article 166, paragraph 8 of the Code, the offender retains the option to settle the dispute by paying - always according to the methods indicated in the attachment - an amount equal to half of the imposed sanction within the term set forth in Article 10, paragraph 3, of Legislative Decree No. 150 of September 1, 2011, provided for the submission of the appeal as indicated below.

DECIDES

g) the publication of this provision on the Guarantor's website pursuant to Article 166, paragraph 7, of the Code and Article 16, paragraph 1, of the Guarantor's Regulation No. 1/2019.

Pursuant to Article 78 of the Regulation, as well as Articles 152 of the Code and 10 of Legislative Decree No. 150/2011, an appeal against this provision may be filed with the ordinary judicial authority, with an application submitted to the ordinary court of the place identified in the same Article 10, within thirty days from the date of communication of the provision itself, or sixty days if the appellant resides abroad.

Rome, October 12, 2023

THE PRESIDENT

Stanzione

THE REPORTER

Scorza

THE SECRETARY GENERAL

Mattei